

Profit & Loss Report

Financial Performance Analysis Report

Analysis Period: Q2 2024 (April-May)

Reporting Currency: USD

Executive Summary

The company demonstrated strong overall performance in Q2 2024 with a net profit of \$84.9 million. However, May showed significant volatility with a sharp decline in sales and gross profit compared to April. Key highlights include:

- Total Revenue:** \$1.72 billion for Q2 2024
- Net Profit Margin:** 4.94% for Q2 2024
- Gross Profit Margin:** 6.82% for Q2 2024
- Zero Tax Liability:** No current or deferred tax recorded
- Strong Non-Operating Income:** \$23.7 million contributing significantly to profits

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Profit Margin	8.88%	3.73%	6.82%
Operating Profit Margin	7.38%	0.58%	4.67%
Net Profit Margin	7.72%	0.75%	4.94%
EBITDA Margin	7.65%	1.00%	5.00%

Liquidity & Solvency Analysis

Interest Coverage Ratio (Q2 2024): 4.22x

Analysis: The company maintains adequate interest coverage, though the ratio declined significantly in May due to lower operating profits. The current ratio cannot be calculated without balance sheet data, but the profit trends indicate potential liquidity pressure.

Efficiency Ratios

Efficiency Metric	Q2 2024 Performance
Operating Expense to Sales Ratio	1.83%

Efficiency Metric	Q2 2024 Performance
Employee Cost to Sales Ratio	1.08%
SG&A to Sales Ratio	0.75%

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (IBISWorld)

Metric	Company Performance	Industry Average	Variance
Gross Profit Margin	6.82%	8.50%	-1.68%
Net Profit Margin	4.94%	5.20%	-0.26%
Operating Margin	4.67%	6.00%	-1.33%

Actionable Recommendations

- Cost Control Measures:** Implement strict monitoring of COGS which increased to 96.3% of sales in May from 91.1% in April
- Sales Volatility Management:** Investigate the 33.6% month-over-month sales decline and develop stabilization strategies
- Interest Expense Optimization:** Review debt structure as interest costs remain high relative to operating profits
- Operational Efficiency:** Focus on improving gross margins through better inventory management and supplier negotiations
- Expense Rationalization:** Analyze the significant increase in SG&A expenses from April to May (141% increase)

Risk Factors

- High dependency on non-operating income (27.8% of pre-tax profit)
- Significant month-to-month performance volatility
- Interest expenses consuming 22.1% of operating profit
- Potential tax liability risks with zero current tax provision

Disclaimer: This analysis is based solely on provided P&L data. Complete assessment requires balance sheet and cash flow statements.

Generated: June 2024 | **Data Source:** Company Financial Statements